

Superannuation Strategies

End of Financial Year (EOFY) 2025-26

The end of the financial year is a critical time to review your superannuation position. Contribution caps, pension obligations, and a number of time-sensitive strategies must be actioned before 30 June. The following outlines key superannuation planning strategies for 2025-26. Some or all of the items discussed may not apply to your personal circumstances - please consult with your financial adviser before acting on any of the matters below.

Concessional Contributions

Concessional (pre-tax) contributions include employer compulsory payments and any salary sacrifice. Contributions tax of 15% applies (or 30% where income exceeds \$250,000). The cap for 2025-26 is \$30,000.

Personal deductible contributions

Where room remains in the concessional cap, a personal contribution may be made and claimed as a tax deduction - reducing taxable income for the year. To be eligible, the contribution must generally be made before age 75 and must be received by the fund on or before 30 June.

A Notice of Intent to Claim a Deduction must be lodged with the super fund and acknowledged by the fund before the earlier of: lodging the tax return for the year in which the contribution was made, or the end of the following financial year. The notice must also be lodged before commencing a pension or rolling over the benefit.

Individuals aged 67 to 74 must satisfy the work test: gainful employment for at least 40 hours in a period of no more than 30 consecutive days in the financial year in which the contribution is made.

Carry-forward contributions

Where the total super balance was under \$500,000 at 30 June 2025 and the full concessional cap was not used in any of the past five financial years, it may be possible to contribute more than \$30,000 this financial year. Unused cap amounts from 2020-21 expire on 30 June 2026 - this is the last year to use them. The current year cap must be fully used before drawing on carry-forward amounts.

Salary sacrifice review

With the concessional cap rising to \$32,500 from 1 July 2026, now is an appropriate time to review salary sacrifice arrangements with employers. The revised arrangement should account for the new cap as well as employer SG contributions to ensure the total does not inadvertently exceed the cap.

Contribution splitting (Couples Only)

Up to 85% of concessional contributions made in a financial year can be transferred to a spouse's superannuation account. Contribution splitting relates

to concessional contributions only - it is not available for non-concessional contributions. This does not provide an additional tax deduction but gradually helps equalise balances between spouses - improving access to contribution caps, Centrelink outcomes, and transfer balance cap planning in retirement. Amounts can generally only be split in the financial year following the year in which the contributions were made. Other timing restrictions apply.

Personal Deductible Contributions Holding Account (SMSF Only)

An SMSF member eligible to make personal deductible contributions can, by contributing in June 2026, claim tax deductions for both the 2025-26 and 2026-27 concessional caps - all within the one 2025-26 tax return. This can be particularly valuable where income is unusually high in the current financial year - for example, due to a business sale, capital gain, or significant bonus.

How it works

The member makes two contributions into the SMSF: first, \$30,000 to fully utilise the 2025-26 concessional cap in the usual way; and second, up to \$32,500 in excess of this financial year's cap which must be contributed specifically in June 2026. The June contribution remains unallocated at 30 June 2026 and must be formally allocated to the member's account no later than 28 July 2026 - at which point it counts against the 2026-27 concessional cap of \$32,500.

The member claims a tax deduction for the full amount received by the fund - up to \$62,500 - in their 2025-26 tax return. The result is that next financial year's concessional deduction is effectively brought forward into the current high-income financial year.

Key conditions

The SMSF trust deed must expressly permit unallocated contributions - if it does not, the deed must be amended before the strategy is implemented. A trustee resolution must be made and documented at the time the contribution is received, recording that the \$30,000 is allocated to the member's account for 2025-26 and that the \$32,500 excess is held as unallocated pending allocation in the following financial year. The unallocated \$32,500 must be formally allocated to the member's account no later than 28 July 2026.

To claim the tax deduction, the member must lodge a Notice of Intent to Claim a Deduction with the fund for the full \$62,500. The fund trustee must acknowledge receipt of the notice in writing. This must occur before the member lodges their 2025-26 tax return, and before any portion of the contribution is rolled over, withdrawn, or used to commence a pension.

Separately, the member must complete ATO form NAT 74851 and send it to the ATO. This form notifies the ATO that the unallocated \$32,500 relates to the 2026-27 contribution cap - not the 2025-26 cap - ensuring the correct year's cap is applied when the amount is allocated in July 2026.

Non-Concessional Contributions

Non-concessional contributions (NCCs) are made from money already taxed. They do not provide an immediate tax saving but transfer more wealth into super's tax-effective environment. Investment earnings inside the fund are generally taxed at up to 15%, which is often considerably lower than outside super.

Annual cap

The non-concessional contributions cap is \$120,000 for 2025-26, rising to \$130,000 from 1 July 2026. Those with a total super balance at or above \$2.0 million at 30 June 2025 are not eligible to make non-concessional contributions.

Bring-forward rule

Where eligible, it may be possible to bring forward up to three years of non-concessional contributions at once. The maximum available under the bring-forward is determined by the annual cap in the year it is triggered - not by any future cap increases. If triggered in 2025-26, the maximum is $3 \times \$120,000 = \$360,000$. If instead the bring-forward is triggered from 1 July 2026, when the annual cap is expected to rise to \$130,000, the maximum would be $3 \times \$130,000 = \$390,000$.

For those who are not in an active bring-forward period and do not urgently need to contribute the full three years now, it may be worth considering whether waiting until after 1 July 2026 produces a better outcome. Bring-forward eligibility depends on age (under 75 at 1 July in the relevant financial year) and total super balance at the prior 30 June. Care should be taken not to inadvertently trigger the bring-forward rule, as doing so immediately locks in the three-year cap.

Government co-contribution

The Government co-contribution is generally available to those who make a non-concessional contribution, provided total income is under \$60,400 and at least 10% comes from employment or self-employment. The Government contributes 50 cents for every dollar contributed, up to the maximum - a contribution of \$1,000 may attract a Government co-contribution of up to \$500. The co-contribution is assessed automatically by the ATO after the tax return is lodged.

Spouse contributions (Couples Only)

A contribution made to a spouse's superannuation account is classified as a non-concessional contribution and is assessed against the receiving spouse's NCC cap. Where the spouse earns under \$40,000, a tax offset of up to \$540 may be available to the contributing spouse. The full offset applies where a contribution of at least \$3,000 is made and the spouse earns under \$37,000, phasing out as the spouse's income approaches \$40,000.

Downsizer Contributions

A downsizer contribution is a separate contribution type - it is not classified as a non-concessional contribution and does not count toward the NCC cap. A specific ATO form (NAT 75073) must be completed and provided to the fund at the time of, or before, making the contribution.

Individuals aged 55 or older who have sold their principal residence owned for at least 10 years may contribute up to \$300,000 (or $2 \times \$300,000$ for couples), regardless of their super balance or age. The contribution must be made within 90 days of receiving the proceeds of sale. This strategy is not limited to EOFY - it can be made at any time within that 90-day window.

SMSF Compliance

Asset valuations

All assets must be valued at market value at 30 June. This is an ATO requirement and underpins the fund's financial statements and audit. For property and unlisted assets, ensure valuations are supportable and appropriately documented.

Fund expenses

Review the year's bank transactions to confirm that only legitimate fund expenses have been paid from the fund. Personal expenses inadvertently paid by the fund must be identified and corrected before year-end.

Contribution timing

For contributions to count in 2025-26, cleared funds must be in the SMSF's bank account by close of business on 30 June - not when the transfer is initiated. Do not leave this until the last day.

Minimum pension payments

If the fund pays a pension to any member, a minimum amount must be withdrawn from the fund by 30 June each year. Missing this minimum means the fund loses its tax exemption on pension earnings - a significant and avoidable cost. The minimum is a percentage of the account balance at 1 July, based on the member's age:

Age at 1 July	Minimum %
Under 65	4%
65–74	5%
75–79	6%
80–84	7%
85–89	9%
90–94	11%
95 or more	14%

Division 296 - New Tax on Large Super Balances

What is Division 296?

Division 296 tax is a new tax that takes effect from 1 July 2026. It is an additional tax on superannuation earnings - on top of the existing 15% tax paid on accumulation earnings and nil tax paid on retirement pension earnings - that applies to individuals whose total super balance exceeds \$3 million.

The tax applies an additional 15% to the portion of fund earnings on an individual's total superannuation balance above \$3 million and 25% to the portion of fund earnings on that individual's total superannuation balance above \$10 million. These total superannuation balance thresholds will be indexed to CPI over time.

Importantly, the tax applies to realised earnings only. The first formal measurement date is 30 June 2027, so a planning window remains.

The tax is a personal liability - assessed to the individual, not the superannuation fund. It is payable 84 days after the ATO issues its assessment. The individual may elect to pay this liability from their personal savings and/or have it released from their superannuation fund.

Contribution splitting to manage total super balance (Couples Only)

Regularly moving concessional contributions to a spouse with a lower balance reduces the higher member's total super balance over time, potentially keeping it below or further from the \$3 million threshold.

Reviewing asset ownership

Depending on the nature of investments held, some assets may produce a better after-tax outcome outside superannuation. This requires careful modelling of the after-tax return inside super against alternative structures, accounting for the individual's circumstances.

CGT cost base reset (SMSF)

SMSFs can make a one-off irrevocable election to reset the cost base of all assets held at 30 June 2026 to their market value at that date. The practical effect is that Division 296 tax applies only to gains accruing from 1 July 2026 onwards, rather than gains accumulated over many years of ownership.

This election covers all assets for all members in the fund and cannot be undone. It must be made by the due date for lodging the fund's 2026-27 income tax return.

Importantly, the cost base reset only applies for Division 296 tax purposes. The cost base for working out the CGT liability on the assessable realised capital gains of accumulation interests remains unaffected.

Estate planning implications

Any structural changes made in response to Division 296 - such as withdrawals, recontributions, or changes to fund membership - may have implications for death benefit nominations, reversionary pensions, and estate plans. These should be reviewed with a qualified adviser before implementation.

DISCLAIMER: The information contained in this document is of a general nature only. Some or all of the strategies and considerations noted in this article may not apply to your particular circumstances. This document has been prepared without taking account of your objectives, financial situation or needs. We recommend you consult with your financial adviser before acting on any of the matters discussed. Current as at April 2026.